OVERVIEW

Tier

Large | Small | Mid

Year

- [ ] 2021
- [ ] 2022
- [ ] 2023
- [ ] 2024
- [ ] 2025

Bank

- [ ] Absa Bank Kenya PLC
- [ ] Co-operative Bank of Kenya
- [ ] Diamond Trust Bank Kenya
- [ ] I&M Group PLC
- [ ] KCB Group PLC
- [ ] NCBA Group PLC
- [ ] Standard Chartered Bank Kenya

Total Pat (KES Bn)

699.76

Avg Cost to Income

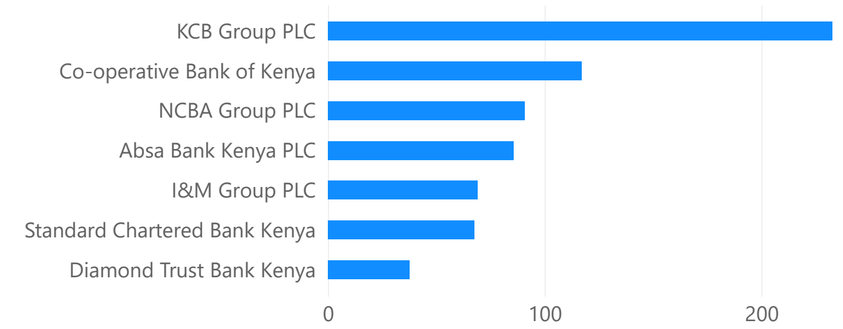
43.9%

Avg ROE

18.7%

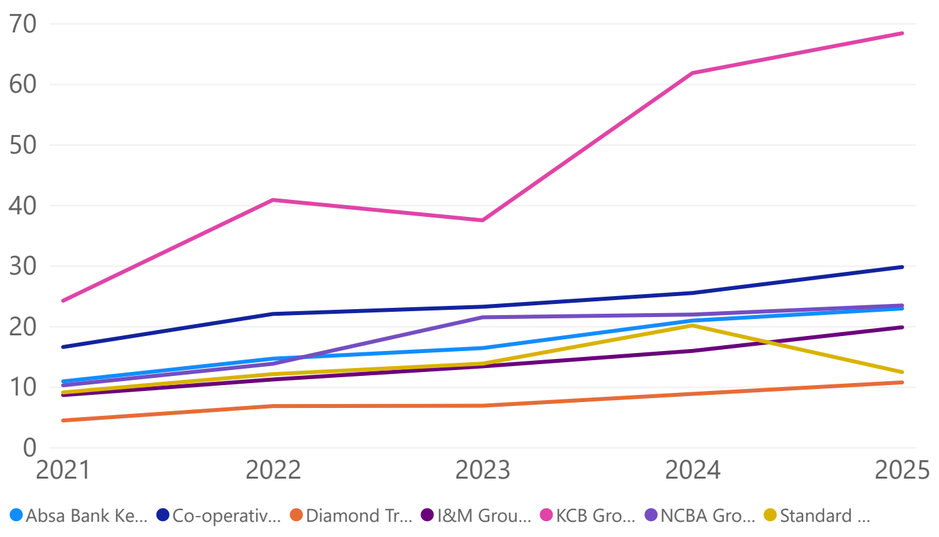
Profit after tax by Bank

(KES bn)-2021-2025



Profit after tax by Year

(KES bn) - 2021-2025



- Profits more than doubled, but KCB drives the result.
- Combined profits after tax of the seven banks rose from about KES 84bn in 2021 to about KES 187bn in 2025.
- KCB earned KES 233bn of the 700bn total over the period accounting for 33% with cooperative Bank KES 117bn, which means that the top two banks account for half of all the profit.
- KCB pulled away after 2023, with profits rising from about KES 38bn to 68bn in 2025.
- Standard Chartered Kenya is the exception having a profit peak of about 20bn in 2024 and fell to KES 12bn in 2025.
- Across all banks and years, average ROE was 18.75% and average cost to income was 43.9%.

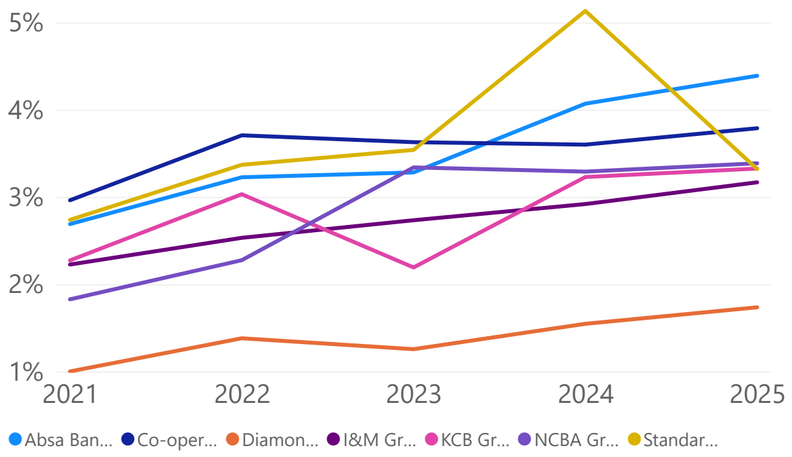
Source: audited company results.

Seven banks; Equity Group is excluded, so totals do not cover the whole listed sector.

Profitability- Returns are healthy and converging; Standard Chartered is the exception in 2025

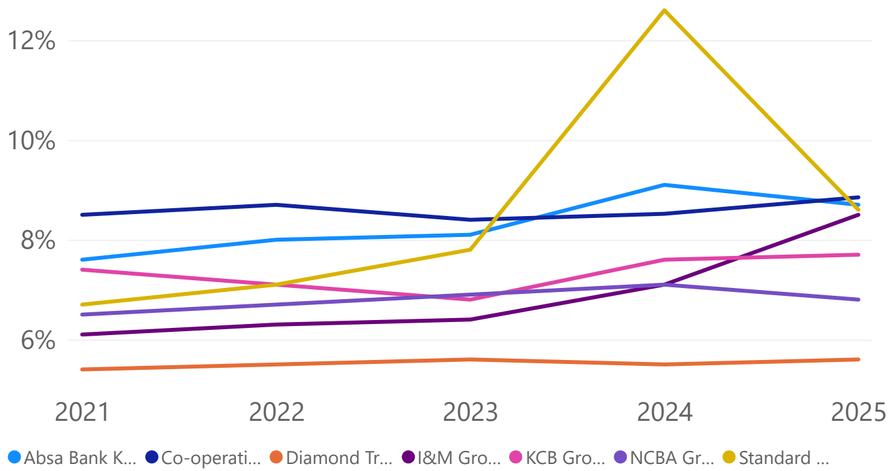
Avg ROA

Six of seven banks earned 3.2%–4.4% on assets in 2025



Avg NIM

Margins cluster at 7–9%, except Diamond Trust Bank



- **Absa Bank Kenya earns the most per shilling of assets,** about 4.4% ROA in 2025, and also leads on return on equity at roughly 25%.
- **Six of seven banks earned between about 3.2% and 4.4% on assets in 2025.** Diamond Trust Bank is the outlier at roughly 1.7%.
- **Every other bank grew profit in 2025:** I&M +24.5%, Co-operative Bank +16.8%, KCB +10.6%, Absa +9.6%, NCBA +6.8%. Combined profit rose 7.1%.

- **Diamond Trust Bank's margin is also lowest,** near 5.5% against about 7–9% for most peers, which is consistent with its lower returns. Its profit still grew 21.6% in 2025.

Year

- [ ] 2021
- [ ] 2022
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- [ ] 2025

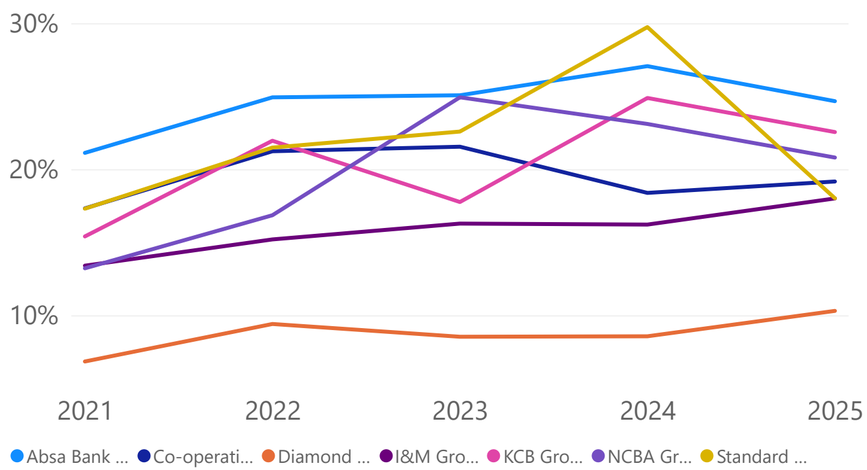
Profit after tax by Bank

2025 profit growth: six banks up, Standard Chartered down 38%

Bank	Sum PAT (KES bn)	PAT YoY %
Diamond Trust Bank Kenya	37.55	21.6%
Standard Chartered Bank Kenya	67.41	-38.3%
I&M Group PLC	68.85	24.5%
Absa Bank Kenya PLC	85.66	9.6%
NCBA Group PLC	90.75	6.8%
Co-operative Bank of Kenya	116.95	16.8%
KCB Group PLC	232.60	10.6%
Total	**699.76**	**7.1%**

Avg ROE

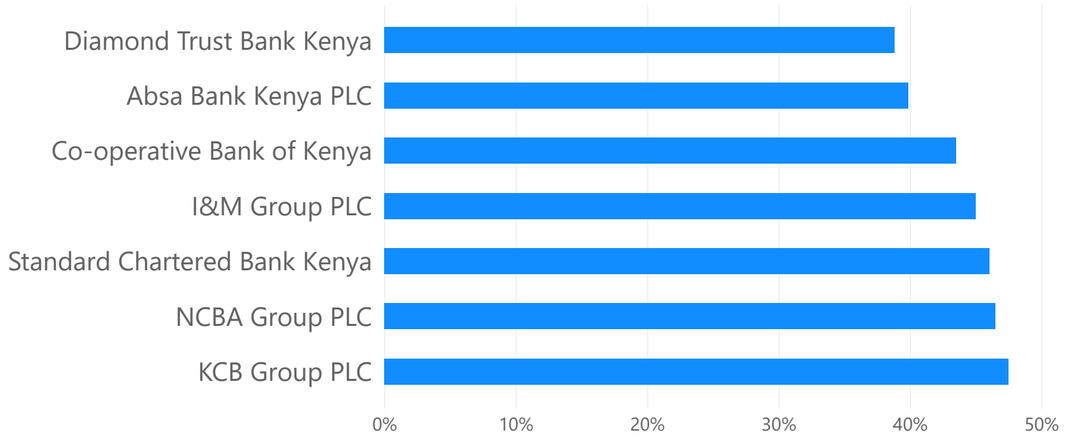
Absa leads on ROE; Standard Chartered fell back from its 2024 peak



Efficiency and Liquidity - Lean banks aren’t always the most profitable, and lending trades off against liquidity

Avg Cost to Income

Every bank spends under half its income on costs; Diamond Trust Bank and Absa are leanest

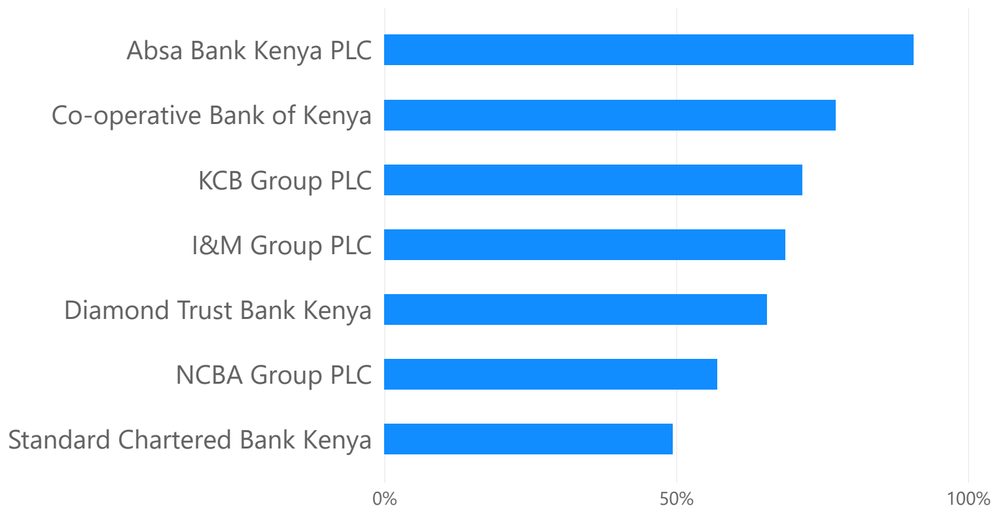


- **Cost-to-income ratios sit in a narrow band,** from about 38% at Diamond Trust Bank to about 48% at KCB. Every bank spends less than half of its income on operating costs.
- **Efficiency doesn’t explain returns.** Diamond Trust Bank is the leanest bank but earns the lowest return on assets (page 2). KCB has the highest cost ratio yet the largest profit, while Absa pairs low costs (about 40%) with the highest ROA.
- **Banks that lend more hold less liquidity.** Absa’s statutory liquidity runs at roughly 38–46%, while Standard Chartered holds 64–71%.
- **Lending intensity varies widely.** Absa lent about 90% of deposits on average, against about 49% at Standard Chartered Kenya.
- **Liquidity is not a constraint.** Even the lowest readings, around 38%, are well above the 20% statutory minimum.

- **The two most lending-intensive banks earn well on assets.** Absa (about 91% loan-to-deposit) leads on ROE, and Co-operative Bank (about 77%) earns an above-average ROA of 3.5%, though its ROE ranks fifth. With seven banks this is a pattern, not proof.

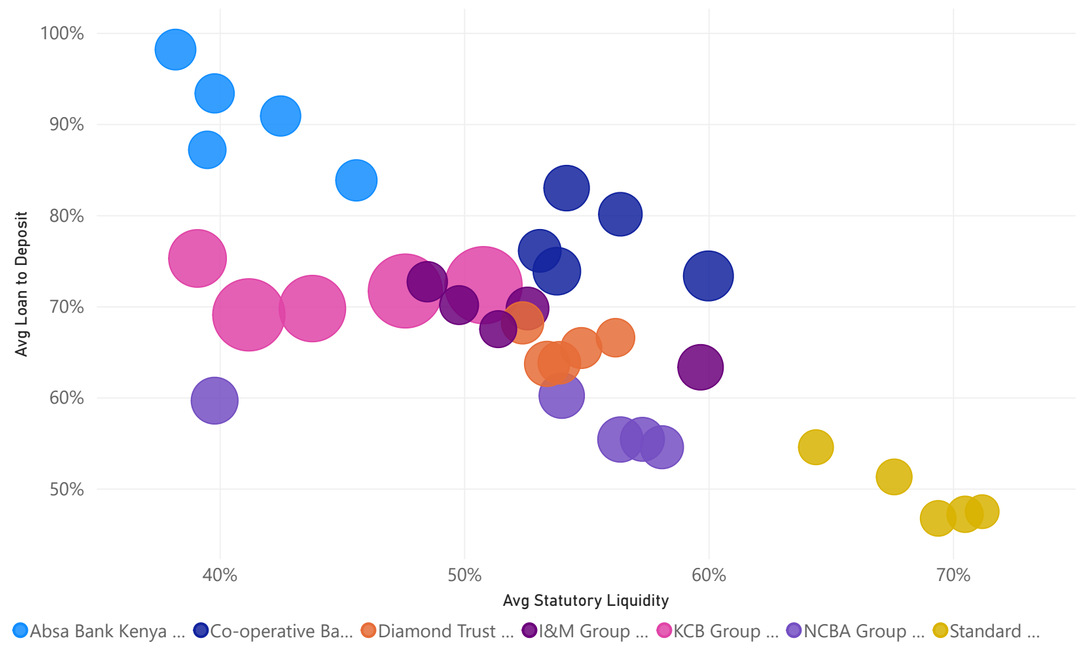
Avg Loan to Deposit

Absa lends about 90% of deposits; Standard Chartered about 50%



Lending vs liquidity, 2021–2025

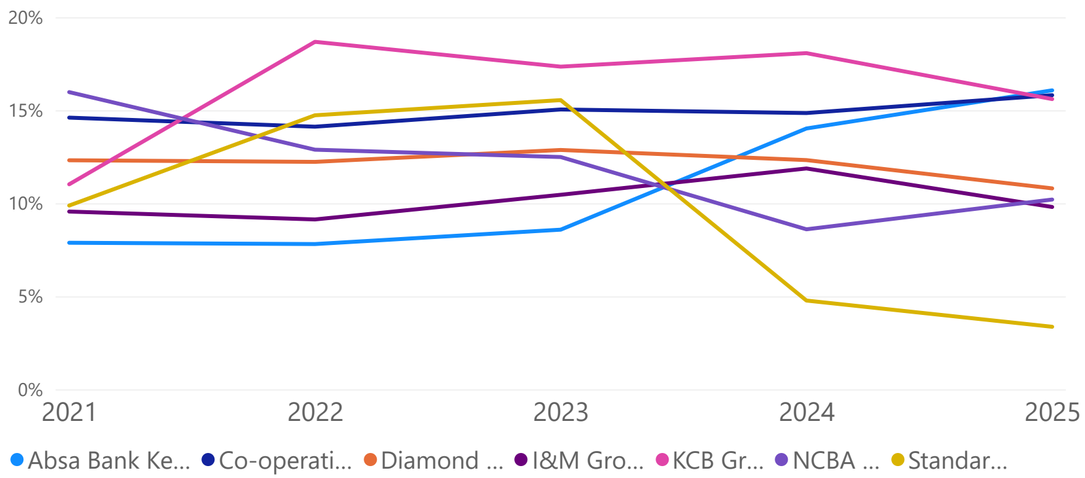
The more a bank lends, the less liquidity it holds



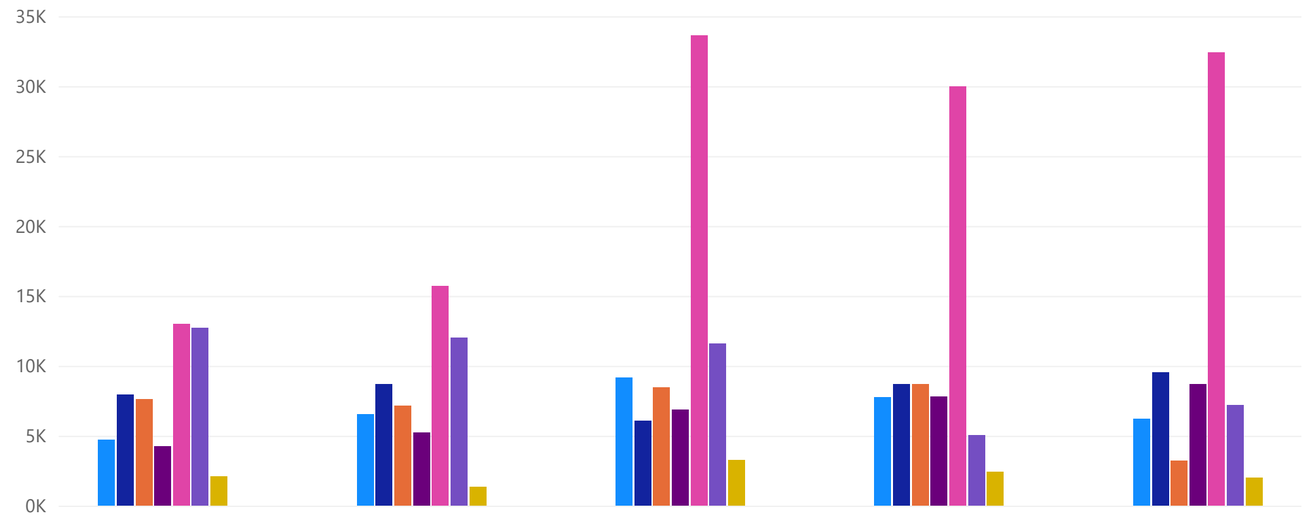
Asset Quality - Loan quality is weak across the sector, and no bank improved steadily

Avg NPL Ratio

By Bank

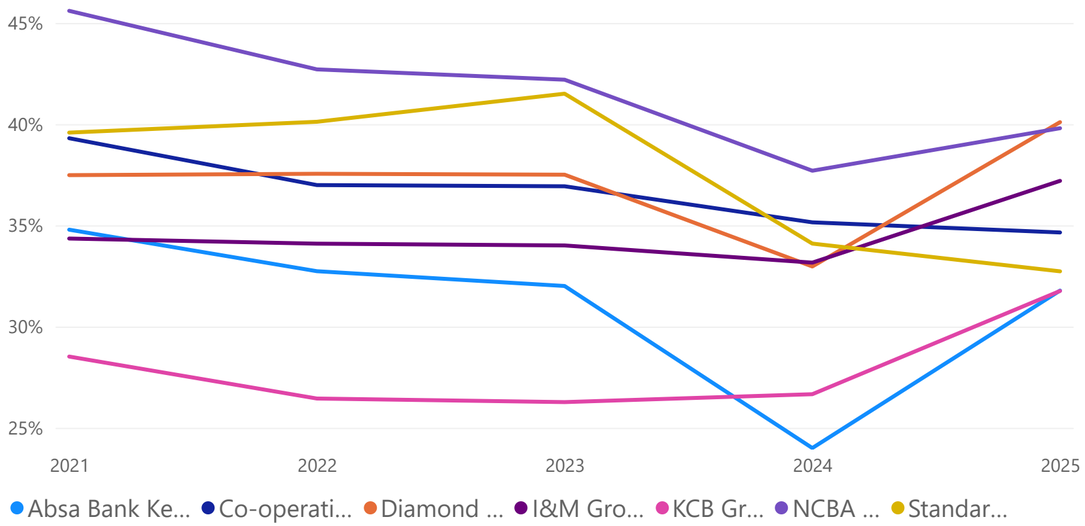


Loan loss provisions by bank (KES millions)



Avg Liquid Assets Ratio

By Year



- **KCB's NPL ratio jumped in 2022,** from about 11% to nearly 19%, and has stayed above 15%, the highest in the group for most years.
- **NCBA improved most,** from about 16% in 2021 to under 9% in 2024, before edging up to about 10% in 2025.
- **Standard Chartered Kenya's ratio climbed to about 15% by 2023, then fell sharply** to roughly 5% in 2024 and about 3.5% in 2025.
- **Liquid assets fell across most banks from 2021 to 2024, then rebounded in 2025.** By 2025 they ranged from about 32% to 40% of total assets, up from a low near 24% at Absa in 2024.
- **Provisions peaked in 2023 at about KES 79bn across the seven banks.** KCB accounts for about 42–47% of the total in 2023–2025.

Year

- [ ] 2021
- [ ] 2022
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Peer Comparison and Average, 2021-2025. Green=better

Year

- [ ] 2021
- [ ] 2022
- [ ] 2023
- [ ] 2024
- [ ] 2025

No bank leads on every measure: Absa wins on ROE, Standard Chartered on balance-sheet caution

Bank	Avg ROE	Avg ROA	Avg NIM	Avg Cost to Income	Avg Loan to Deposit	Avg NPL Ratio	ROE Rank
KCB Group PLC	20.5%	2.8%	7.3%	47.5%	71.6%	16.1%	3
NCBA Group PLC	19.8%	2.8%	6.8%	46.5%	57.0%	12.0%	4
Standard Chartered Bank Kenya	21.8%	3.6%	8.6%	46.1%	49.4%	9.7%	2
I&M Group PLC	15.8%	2.7%	6.9%	45.0%	68.7%	10.2%	6
Co-operative Bank of Kenya	19.5%	3.5%	8.6%	43.5%	77.3%	14.9%	5
Absa Bank Kenya PLC	24.6%	3.5%	8.3%	39.9%	90.7%	10.9%	1
Diamond Trust Bank Kenya	8.7%	1.4%	5.5%	38.8%	65.5%	12.1%	7
Total	**18.7%**	**2.9%**	**7.4%**	**43.9%**	**68.6%**	**12.3%**	

- **Absa leads on return on equity (24.6%)** and runs one of the leanest cost bases (39.9%), but it lends 90.7% of its deposits, the most in the group.
- **KCB is the largest earner but only mid-table on returns.** It ranks third on ROE (20.5%) with the highest cost-to-income ratio (47.5%) and the highest NPL ratio (16.1%).
- **Diamond Trust Bank ranks last on returns** (ROE 8.7%, ROA 1.4%, NIM 5.5%) despite the lowest cost-to-income ratio (38.8%). Cost discipline does not make up for a thin margin.
- **Co-operative Bank's margin is strong (NIM 8.6%, tied for highest)** but its NPL ratio is the second highest (14.9%).
- **Size does not predict returns:** the two smallest banks by assets, Absa and Standard Chartered, rank first and second on ROE, the largest bank (KCB) ranks third, and mid-sized Diamond Trust Bank ranks last.
- Peer averages: ROE 18.7%, ROA 2.9%, NIM 7.4%, cost-to-income 43.9%, loan-to-deposit 68.6%, NPL ratio 12.3%.
- Standard Chartered Kenya pairs strong returns with a cautious balance sheet: ROE 21.8%, ROA 3.6%, loan-to-deposit 49.4% and NPL ratio 9.7%. Its 2024 profit spike lifts these averages, and profit fell 38% in 2025.